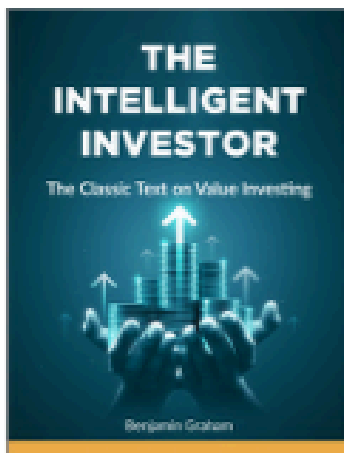




THE INTELLIGENT INVESTOR

The Classic Text on Value Investing

Benjamin Graham



The Big “So What”

This book is considered a bible in the world of value investing. It provides invaluable insights on adopting a disciplined, rational investment approach, to focus on the intrinsic value of a company instead of market speculation.



What's Intelligent Investing?



Warren Buffett is well-known for his concept of value investing, which originated from Graham's teachings on intelligent investing. This is not about having a high IQ or mastering financial techniques, but having the knowledge, principles and mindset to be an astute investor. The goal is not to beat the market or to get rich overnight, but to build wealth in a steady, consistent way.



Although Graham first published this book decades ago, the timeless principles remain relevant today.

- In this summary, we've streamlined and organized the content into 3 sections:
 - (i) Foundational Principles of Intelligent Investing;
 - (ii) The 2 Investment Pathways; and
 - (iii) Other Investment Insights.

KEY QUOTES

"The purpose of this book is to supply, in a form suitable for laymen, guidance in the adoption and execution of an investment policy."

"Sound investment principles produced generally sound results. We must act on the assumption that they will continue to do so."



Foundational Principles of Intelligent Investing



Invest, Don't Speculate



There's a major difference between investment and speculation.

- An investment is based on robust analysis, with the goal to preserve your principal and obtain sufficient returns in the long term. For example, you may buy a stock after analyzing the company's financial health and future potential.
- Anything that's not an investment is a speculation, such as buying a trending stock in hopes that its price will go up, or acting based on an unverified "tip".
- The goal of intelligent investing isn't to outperform the market every year. It is to:
 - (i) Achieve steady, positive returns over time; and
 - (ii) Preserve your principal by avoiding severe losses. If you lose \$90,000 out of \$100,000 investment capital, you'd need returns of 900% just to recoup your initial amount.



Speculation isn't "bad". The danger lies in confusing speculation and investment—to think you're investing when you're speculating and exposing yourself to unnecessary risks.

- If you wish to try your hand at speculation, Graham recommends keeping separate accounts: one for genuine investments and a smaller account for speculative activities. This limits losses from speculations, and keeps you from muddling your investment strategy with speculative bets.



Focus on Real Returns After Inflation



Inflation erodes your money's purchasing power over time. If your investment returns are lower than inflation rates, you are effectively losing wealth.

- Imagine you have \$100, and inflation is 5% per annum. In a year, even if your money grows to \$102, its purchasing

KEY QUOTES

"If you've failed at investing so far, it's not because you're stupid...It's because...you haven't developed the emotional discipline that successful investing requires."
— Jason Zweig

"If you want to speculate do so with your eyes open, knowing that you will probably lose money in the end."

"Never mingle your speculative and investment operations in the same account, nor in any part of your thinking."

power is only comparable to \$95 from the previous year due to inflation. So, you've actually lost value in real terms.



Assets (e.g. bonds, stocks, property) may be used to hedge against inflation, i.e. build an asset portfolio whose value appreciates more than the rate of inflation in the long run. To this end, Graham discussed different types of assets:

- Bonds and fixed-income instruments: Bonds are loan agreements between a lender and an entity (e.g. government or company). They guarantee periodic interest payments and the return of your principal at a specified maturity date. Bonds are typically seen as a safe form of investment. However, their returns may be lower than inflation rates during periods of high inflation, leading to negative real returns.
- Stocks, shares, or equity: These represent ownership in a company. They give you a claim on a portion of the company's assets and earnings, and may come with dividends as a share of company profits. Historical data suggests that stocks tend to outperform inflation in the long term.
- Other tangible assets (e.g. real estate, gold, or collectibles) can also retain value during inflationary times. Like all investments, they come with their own risks, e.g. gold doesn't provide ongoing income and may incur storage costs, while the prices for artwork can be unpredictable.



It's impossible to predict the rate of inflation or the future performance of any asset class. So, the best way to counter inflation is to have a diversified portfolio with various assets, and to regularly review and adjust your portfolio.

- Always think in terms of real returns, i.e. returns after accounting for inflation. If your investment returns are 7% and inflation is 5%, your real return is just 2%. To grow your wealth, you need investments with positive real returns.
- Stay vigilant: regularly assess the economic landscape and adjust your strategy to address changes in inflation rates.

KEY QUOTES

"Just because of the uncertainties of the future the investor cannot afford to put all his funds into one basket."



Understand the Stock Market History

A good investor should understand the history and performance of financial markets. In the book, Graham analyzed a century of stock market data, emphasizing the need to understand (i) price fluctuations, and (ii) the relationship between stock prices, earnings and dividends.

- From 1871-1971, the stock market went through several highs (e.g. the Roaring Twenties) and lows (e.g. the Great Depression), punctuated by short-term volatility. Investors should expect such cycles and fluctuations, and realize that it's hard to predict short-term market direction. For example, back in 1927, it was nearly impossible to foresee whether the market would rise or fall.



- In the long-term, the market showed a general upward trajectory to provide solid returns. Graham attributed this to a combination of 3 things: (i) inflationary growth, (ii) real growth in companies' earnings and dividends, and (iii) speculative growth linked to people's appetite for stocks.
 - (i) While *inflation* affects stock appreciation, it's not a key driver. For a true measure of their returns, investors should adjust for inflation.
 - (ii) A bigger driver was the *real growth* in companies' earnings and dividends. Dividends, especially when reinvested, played a major role in compounding growth.
 - (iii) Stock prices can fluctuate wildly due to *irrational speculation*, often bearing no relation to the stock's intrinsic value.

KEY QUOTES

"Prudence suggests that [the investors] have an adequate idea of stock-market history, in terms particularly of the major fluctuations in its price level and of the varying relationships between stock prices as a whole and their earnings and dividends."

*"The only thing you can be confident of while forecasting future stock returns is that you will probably turn out to be wrong."
—Jason Zweig*

- In sum, markets experience ups and downs, but they generally yield positive returns in the long haul. This presents a few takeaways for investors.

- (i) Given the long-term market uptrend, it makes sense to adopt a consistent, long-term investment strategy.
- (ii) Short-term market fluctuations and speculations also create gaps between stock prices and their intrinsic value, offering opportunities for savvy investors to profit from mispriced stocks—to buy undervalued stocks and sell overvalued ones.
- (iii) The real challenge is to implement these strategies rationally, without being swayed by market hype or speculation.



Manage your Responses to Market Fluctuations



Price fluctuations are inevitable in the market.

- Stocks: Often, a stock's market price is driven by speculation, and doesn't reflect its true business value. The more successful a company, the greater its stock price fluctuations due to heightened speculation.
- Bonds: Bond have a fixed maturity date and interest rates, but their market prices can vary due to changes in interest rates, shifts in the issuer's creditworthiness, and other market dynamics.
- Historically, good-quality stocks delivered average returns of about 10% annually. Bonds, being less risky, yielded average returns of close to 5%. However, past trends may not predict future performance.



A key difference between investors and speculators lies in their response to stock market movements. Speculators try to make a quick profit by second-guessing short-term market shifts, while intelligent investors make strategic buy/sell decisions based on the intrinsic value of the securities. Specially, intelligent investors consider both timing and pricing:

KEY QUOTES

"Every investor who owns common stocks must expect to see them fluctuate in value over the years."

"Common stocks may do better in the future than in the past, but they are far from certain to do so."

- Timing: They don't rush to buy or sell. They grasp market trends, buying when the market is moving upward, and selling or holding when the market is moving downward. They only sell a stock if they expect to repurchase it at a much lower price in the future.
- Pricing: To avoid over-paying, they aim to buy low (below value) and sell/hold when prices are high (above value).



Think of the stock market as an erratic business partner "Mr. Market". Some days he's overly optimistic, offering to buy your stakes at exorbitant prices. Other days he's pessimistic, proposing to sell his shares at a steal.

- The wise strategy is to maintain your independent view of your stock's true value, then exploit Mr. Market's mood swings: buy from him when he undervalues his stocks and sell to him when he overvalues them.



However, even the most astute investor can be swayed by emotions or market hype. Thus, you need to mitigate your impulses using several safeguards:

- Go for a margin of safety: buy a security (e.g. stock or bond) only if its market price is significantly below its intrinsic value. This cushions against unexpected market downturns and errors in judgment. Specifically:
 - (i) Differentiate between a stock's market price and its intrinsic value, targeting undervalued stocks priced below their true worth.
 - (ii) For *bonds*, the margin of safety lies in their yield or expected return. Make sure the yield is sufficiently higher than current interest rates to offset potential risks.
- Diversification: Spread your investments across a variety of assets and sectors. This reduces the risk of major losses from a downturn in any sector or industry.
- Conduct rigorous analyses: Use a mix of quantitative and qualitative evaluations (elaborated below) to make sure you don't overpay. At the same time, remember that you cannot truly predict the market.

KEY QUOTES

"It is easy for us to tell you not to speculate; the hard thing will be for you to follow this advice."

"Even the intelligent investor is likely to need considerable will power to keep from following the crowd."



Security Analysis Made Simple



Any investor must minimally understand a company's financial reports, including the balance sheet, income statement, and notes. Never buy/sell a security (a stock, bond, or derivative) without rigorous analysis.



When evaluating stocks, combine a range of financial metrics and qualitative factors to get a holistic view of a company's value and potential:

- Valuation: To avoid overpaying for growth, use this formula to gauge a growth stock's intrinsic value: $\text{Value} = \text{Current earnings} \times (8.5 + 2 \times \text{expected annual growth rate})$
- Price ratios: The Price-to-Earnings (P/E) ratio should be below 15 and the Price-to-Book (P/B) ratio should be below 1.5. When multiplied together, P/E and P/B should not exceed 22.5.
- Size and stability: Prioritize companies with significant annual revenue and consistent dividend payments.
- Ensure the current dividend rate is sustainable.
- Long-term prospects: Assess the company's industry position and growth potential.
- Evaluate the management competence and integrity.
- Financial strength: Ensure the assets are greater than liabilities, with moderate debt levels.
- Earnings per share (EPS) is a key metric for evaluating a company's financial health and its stock's potential value.
 - (i) Consider the *average earnings over time* for ideally 7-10 years. Prioritize companies with consistent earnings growth and avoid those with sporadic spikes.
 - (ii) Dive deep to examine the *factors influencing EPS*. Separate factors that truly reflect the company's intrinsic value from other factors (like accounting methods/adjustments, extraordinary events, or stock splits/dividends).



Bonds are typically less risky than stocks, but they still require scrutiny. When evaluating bonds, look for:

KEY QUOTES

"The security analyst develops and applies standards of safety by which we can conclude whether a given bond or preferred stock may be termed sound enough to justify purchase for investment."

- A strong equity-to-debt ratio of ideally 2:1 or more.
- A strong record of past earnings to cover interest charges, ideally by at least 7x.



The 2 Investment Pathways

There are 2 types of investors or investment pathways:

- Defensive (passive) investors seek to avoid big mistakes and losses, and to earn decent returns with minimal effort.
- Enterprising (aggressive) investors are willing to take more risk and put in much more time/effort to achieve higher returns. This approach brings potential for higher returns, but also higher risks.



As an investor, your returns should match the amount of effort and risks you're willing to take. Thus, the defensive investor will typically earn a lower return compared to the enterprising investor.

"The rate of return sought should be dependent...on the amount of intelligent effort the investor is willing and able to bring to bear on his task."



Defensive Investing: Strategies and Asset Selection



For defensive investors, the ideal strategy is to go for a balanced portfolio with a blend of stocks and bonds.

- Asset allocation: Balance between high-grade bonds and high-grade stocks, ideally with a 50-50 split. This ratio can be adjusted between 25-75% in either direction, based on your financial needs and risk tolerance.



When selecting common stocks, apply strict criteria to select only large, reputable companies that are financially robust and have a history of growth.

- Size: Choose big companies with $\geq \$100\text{mil}$ in annual sales (for industrial firms) or $\geq \$50\text{mil}$ in total assets (for public utilities). They should in the top 25-30% within their industries.
- Financial stability: The current ratio (current assets to current liabilities) should be at least 2:1 for industrial companies

and at least 30% for public utilities. Long-term debt must not exceed net current assets.

- Dividend record: Choose companies that paid dividends consistently for the past 20 years.
- Diversify your stocks between 10-30 different industries.
- Stock price limits: Pay no more than 15x the average earnings for the past 3 years.
- Stable earnings: Ensure positive earnings in the last 10 years.
- Ensure growth in per-share earnings of $\geq 30\%$ for the past 10 years, using 3-year averages at the beginning and end.
- Asset value: Ensure the P/B ratio is below 1.5, and P/E multiplied by P/B is below 22.5.



Bonds provide stability to your portfolio by offering steady income and principal preservation.

- Tax considerations: Choose between taxable and tax-free bonds by comparing after-tax yields for your tax bracket.
- Maturity: Diversify between short-term and long-term bonds to balance between returns and stability.



While there are other investment instruments like preferred stocks, mortgage securities, and annuities, they may not be necessary in a defensive investment portfolio. Only include them if they specifically meet your financial needs.



Other best practices for defensive investing include:

- Rebalancing: Regularly adjust your portfolio to achieve your desired asset allocation. For instance, if your target stock-to-bond mix is 70:30, but market shifts change this to 75:25, you should sell some stocks and buy bonds to regain your target balance.
- Avoid frequent or drastic changes to your portfolio mix. Only adjust your asset allocation due to changes in financial needs (e.g. starting a family), not short-term market forecasts.
- Dollar-cost averaging: Invest a consistent amount at regular intervals—regardless of market conditions—to reduce the average cost per share over time.

KEY QUOTES

"This matter of choosing the 'best' stocks is...a highly controversial one. Our advice to the defensive investor is that he let it alone. Let him emphasize diversification more than individual selection."

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- To guard against inflation, invest in assets (especially stocks) that have historically performed well during inflationary times.



Enterprising Investing: Strategies and Asset Selection



The principles for defensive investing are also applicable to enterprising investing: to balance high-grade bonds and stocks, purchased at reasonable prices. However, enterprising investors tend to push the boundaries to explore more varied and potentially riskier assets that they believe can outpace the market.

- To succeed, they must put in significant time and effort to research, analyze and manage their investments. They must become at least as knowledgeable as institutional investors.



When selecting common stocks, they should consider:

- Timing: Understand market cycles to buy low and sell high.
- Choose growth stocks with consistent earnings growth, a competitive edge, and sectors with good growth potential. Assess the P/E ratios relative to their growth rates.
- Look for bargain issues or undervalued stocks priced at two-thirds or less of the company's net current asset value, for a good margin of safety.
- Capitalize on special events like restructuring, mergers, or spinoffs. But, make sure you have an in-depth understanding and precise timing.



Apply due diligence for other investment opportunities:

- Second-grade bonds or preferred stocks can offer high yields, but require a thorough risk assessment.
- For foreign government bonds, choose stable countries to mitigate political and currency risks.
- New issues or common-stock offerings tend to be overpriced, so always scrutinize the company's fundamentals and pricing.

KEY QUOTES

"The aggressive investor must have a considerable knowledge of security values—enough, in fact, to warrant viewing his security operations as equivalent to a business enterprise."

"Experience clearly shows that it is unwise to buy a bond or a preferred which lacks adequate safety merely because the yield is attractive."



Remember: active management doesn't guarantee better results.

- Avoid pitfalls such as: overdiversification, impulse-buying, and over-leveraging. Never risk your principal for marginal gains.
- Adopt best practices including:
 - (i) Staying informed on market trends and investment methods.
 - (ii) Reviewing and adjusting your portfolio regularly.
 - (iii) Sticking to data-driven analysis with patience and emotional discipline, instead of following market sentiments.
 - (iv) Diversifying your portfolio, while taking calculated risks with a limited portion of your assets.



Other Investment Insights



Investment (Mutual) Funds



Investment funds, commonly known as mutual funds, pool money from many investors to buy into a diversified securities portfolio. They offer a way for investors to diversify without the need to select individual stocks or bonds.

- Mutual funds have delivered mixed results compared to benchmark indexes like the S&P 500. Some funds outperformed the market consistently, while many performed below market averages, especially after accounting for fees and expenses.



There are various types of funds, such as balanced vs all-stock funds, open-end vs closed-end funds, load vs no-load funds. When selecting mutual funds, consider the fund objectives, fee structure, past performance relative to benchmarks, and your own financial objectives and risk appetite. Remember: professionally-managed funds with higher fees do not guarantee superior returns.

KEY QUOTES

"An elementary requirement for the intelligent investor is an ability to resist the blandishments of salesmen offering new common-stock issues during bull markets."



Convertible Issues and Warrants



Convertible issues and warrants can enhance returns, but they also introduce other risks.

- Convertible securities are typically bonds or preferred stock that can be converted into a predetermined number of the issuing company's common shares.
- Warrants give the holder the option to buy the company's stock at a specific price within a certain timeframe.



Make sure you analyze them carefully against your risk tolerance and strategy. Here are some factors to consider:

- Convertibles combine bond or preferred stock features with common stock, offering potential capital appreciation if the stock performs well. The bond's interest or dividend payments also offer some downside protection if the stock doesn't do well.
- It's more complex to value convertible securities and warrants, since you must consider both the fixed-income component and the conversion option.
- When these instruments are exercised, they may decrease earnings per share and stock value for existing shareholders.
- Warrants can be speculative, since they're often issued as a sweetener to attract investors for a bond/stock offering.



Graham's advice for investors:

- Focus on the fundamental quality of the bond or preferred stock, and only go for undervalued convertible securities or warrants. Don't get blinded by the "upside potential."
- Scrutinize new convertible issues carefully. Ask yourself: would a truly strong business need to attract investors using convertible features?

KEY QUOTES

"In exchange for the conversion privilege the investor usually gives up something important in quality or yield, or both."

"Our general attitude toward new convertible issues is...a mistrustful one...If a new issue is a really strong one, it is not likely to have a good conversion privilege."



Engaging Professional Investment Advice



Professional investment advice comes in many forms, such as commercial bankers, brokerage/investment firms, financial services, and specialized investment advisers.

- Brokers, financial planners, and portfolio managers provide personalized advice, specialized insights, and access to resources that individual investors may not possess.
- Other financial services offer tools and platforms to support investment decisions, such as research reports, in-depth stock analyses, and forecasts.



Consider these factors when using professional investment advice:

- Be circumspect. Despite their expertise, professionals are still subject to market uncertainties. Always validate expert inputs with your own research.
- Consider cost implications. Understand how adviser fees—be it fixed, hourly, or assets under management (AUM)—affect overall returns. Assess if the costs are justified by potential/actual gains.
- Some advisers receive commissions for specific product recommendations, leading to possible conflicts of interest. Always consider the motives behind the advice. Work only with competent, transparent advisers with a strong track record.



Ultimately, investors must educate themselves on investment basics and strategies, and take responsibility for their investment choices.

- Defensive investors may not be able to assess every piece of advice, but they can provide firm, specific instructions about their desired asset mix based on the earlier guidelines.
- Enterprising investors should work closely with their advisers, while cross-referencing advice across various reliable sources.

KEY QUOTES

"Any approach to moneymaking in the stock market which can be easily described and followed by a lot of people is by its terms too simple and too easy to last."

"The intelligent investor will not do his buying and selling solely on the basis of recommendations received from a financial service."

"If the reason people invest is to make money, then in seeking advice they are asking others to tell them how to make money. That idea has some element of naïveté."



Shareholder-Management Relations and Dividend Policy



Dividend policies can affect perceived shareholder value. The question is: should profits be reinvested for future business growth or distributed to shareholders as dividends? Typically, companies need higher retained earnings during periods of rapid growth, and during market downturns (when they need to conserve cash).

- The market generally favors companies that consistently generate growth from reinvested profits. Such companies can maintain robust stock prices despite low/no dividends. On the other hand, "income issue" stocks tend to find their market value intertwined with their dividend payouts.



Graham believed that shareholders are entitled to a company's earnings, and should demand transparency and accountability from management.

- If a company retains more than one-third of its earnings, it should demonstrate that the retained earnings are being translated to future shareholder value, e.g. growth in per-share earnings.
- He urged shareholders to take active action if a company is underperforming relative to its peers, or if market prices are persistently low (which could lead to the company becoming acquired).



Comparative Analysis in Practice



In the book, Graham compared 4 real companies to illustrate how security analysis can be used to assess companies' intrinsic values and potential risks. For simplicity, we'll use a set of fictional numbers to show how to compare companies in practice.

Metric	Company A	Company B	Company C	Company D
P/E Ratio	15	20	10	18
Debt/Equity Ratio	0.5	1.5	0.3	0.7
10-Year Avg. Growth	5%	3%	7%	2%
Dividend Yield	4%	2%	5%	3%
Historical Stock Price Stability	Stable	Volatile	Stable	Volatile
Business vs Stock Performance	Aligned	Divergent	Aligned	Divergent

KEY QUOTES

"Poor managements produce poor market prices."

"It is our belief that shareholders should demand of their managements either a normal payout of earnings...or else a clear-cut demonstration that the reinvested profits have produced a satisfactory increase in per-share earnings."



Here are some practical insights from the numbers:

- Profitability and price: All else being equal, the P/E ratios suggest that Company C may be the most undervalued.
- Financial risk: Company B's high debt/equity ratio indicates greater financial risk.
- Growth prospects: Company C has the highest average growth over 10 years, suggesting a strong future potential.
- Historical stability: Using stock price history as a signal of the companies' volatility, Companies A and C seem more stable.
- Dividend analysis: Using dividend yield as a gauge of profitability and shareholders returns, Company C seems to be a front-runner.
- Business vs stock performance: A stock may be overvalued or undervalued if there's a gap between stock price movements and business growth. Companies A and C's prices are aligned with their growth.



Compare all the metrics above to make a holistic decision. In this simple example, Company C seems the most promising.

- Often, analysts recommend stocks based on transient factors like "strong market action" or "recent earnings growth". Such considerations should be irrelevant to the intelligent investor.
- While numbers are a good starting point, you should always look beyond quantitative metrics to truly understand a company, its industry, competitive landscape, and future prospects.
- Don't make decisions based solely on past trends or current momentum. Make sure you understand a company's current competitive position, financial health, and growth prospects. Occasionally review the fundamentals of the companies you've invested in, to make sure they're still sound.



Other Details in the Book to Look Out For



The book included detailed explanations of different investment instruments. It also analyzed historical numbers and data for various asset classes and types of companies across different

KEY QUOTES

"Obvious prospects for physical growth in a business do not translate into obvious profits for investors."

"Obvious prospects for physical growth in a business do not translate into obvious profits for investors."

"The investor need not watch his companies' performance like a hawk; but he should give it a good, hard look from time to time."

industries. Besides the comparative analysis, Graham also presented 4 other case studies to illustrate market volatility and investment pitfalls. In addition, he compared 8 pairs of companies to reinforce the key factors that differentiate successful investments from less successful ones.



In each of the 20 chapters, financial journalist Jason Zweig also added his commentary to link Graham's timeless principles to the current financial landscape. This included: updated statistics to show how Graham's principles have held up over time, and modern examples to clarify or elaborate on how Graham's principles may be applied in today's markets.



About the Author

Benjamin Graham (1894–1976) was widely regarded as the father of value investing. Graham graduated from Columbia University and took a job as a chalker at Wall Street. He went on to do financial research for his firm and was made a full partner. At age 25, he was earning >\$500,000 a year, but lost all this wealth in the 1929 market crash.



In 1934, Graham coauthored *Security Analysis* with David Dodd, which popularized the concept of intrinsic value. Later, he published *The Intelligent Investor* to capture his insights on investing. Graham also taught at Columbia University for 30 years, with Warren Buffett being one of his better known students.